



مركز قطر للمال
Qatar Financial Centre



هيئة تنظيم
مركز قطر للمال
QATAR FINANCIAL CENTRE
REGULATORY AUTHORITY

PROPOSED DIGITAL ASSETS REGULATORY RULES FRAMEWORK

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PROPOSED DIGITAL ASSETS REGULATORY RULES FRAMEWORK

Invitation to comment

The Qatar Financial Centre ("QFC") Regulatory Authority ("Regulatory Authority") and the Qatar Financial Centre Authority ("QFC Authority") seek public comment on proposals to introduce a QFC Digital Assets Framework. The proposed draft legislation is set out in **Attachments 1 and 2** to this Consultation Paper.

This Consultation Paper issued jointly by the Regulatory Authority and QFC Authority seeks feedback from firms and industry practitioners on the structure, content, and practitioner useability of the proposed framework. In that connection, the framework has been developed to achieve an appropriate balance between alignment with legal and regulatory international standards and useability for practitioners in both the State of Qatar and internationally.

These proposals support both the Regulatory Authority and QFC Authority's commitment to the maintenance of international legal, regulatory, and business standards for conventional and Islamic financial services and related service providers. The proposals also support the State of Qatar's digital economy strategy and the continued development of the QFC as a leading financial and business centre in the Middle East.

Please submit your comments by **2 January 2024** on the proposals and include contact details for the organisation represented to:

For the QFC Regulatory Authority

By post:

Policy Department
QFC Regulatory Authority
PO Box 22989
Doha
Qatar

Or email to: consultationpapers@qfcra.com

For the QFC Authority

By post:

Legal Department
QFC Authority
PO Box 502601
Doha
Qatar

By email to: consultation@qfc.qa

Or through the QFC Portal:

For QFC Firms, you may submit your comments through the "Consultation Notification" in the new QFC Portal under the Legislation & Compliance functionality.

For non-QFC Individuals, advisors, businesses and groups or anyone wishing to submit comments, please go to <https://eservices.qfc.qa//Compliance/ComplianceLegislation.aspx>

These proposals are relevant to QFC, State and international firms who may seek to participate in the proposed digital assets framework.

QFC Regulatory Authority

In accordance with its statutory objectives, the Regulatory Authority may make all responses to formal consultation available to the public. Respondents who would like their submission, or part of their submission, to remain confidential should provide this information marked as confidential. A standard confidentiality statement in an email message will not be regarded as a request for non-disclosure.

QFC Authority

The proposed draft legislation is in draft form and has been made available as a consultation document for the purpose of inviting comments from stakeholders. The content of the draft legislation is subject to change and may differ from the final versions. The final form of the draft legislation as published by the QFC Authority, is the definitive version and you may not rely on this document either as a statement of law or regulatory requirements or as an indication of policy.

Comments are invited in relation to any aspect of the proposed draft legislation in this Consultation Paper including both the concepts contained therein and the detailed drafting.

The QFC Authority may adopt in whole or in part the proposals outlined in this Consultation Paper or may amend the proposals in light of the comments received.

1 Introduction

- 1.1 The Regulatory Authority and the QFC Authority has developed a QFC digital assets framework designed to achieve the following objectives:
- a develop a legal and regulatory framework for digital assets through the establishment of a tokenisation framework in the QFC that will provide legal certainty and a trusted technology environment for digital assets;
 - b provide legal recognition of digital assets and address issues such as ownership of the underlying assets, custody arrangements, the transfer of ownership, trading and exchange of digital assets, smart contracts, among other relevant matters;
 - c develop a trusted technology infrastructure that embeds the standards necessary to ensure trust and confidence among consumers and support for the framework from high quality service providers; and
 - d develop a framework that delivers certainty and promotes trust and confidence in digital assets, the market, and the service providers.
- 1.2 In developing the proposed framework, the Regulatory Authority and the QFC Authority have considered a range of legal and regulatory benchmark jurisdictions. These include Lichtenstein, Switzerland, the European Union, the Monetary Authority of Singapore, various State, and offshore financial centre frameworks in the GCC and other benchmark regulatory jurisdictions.
- 1.3 In support of the development of the proposed framework, the QFC Authority has also established an advisory group of industry practitioners across various disciplines to provide feedback on the legal framework and offer potential use cases.
- 1.4 This Consultation Paper contains the following attachments:

Attachment 1: Proposed draft:

- 1.1 Investment Tokens Rules 2023
- 1.2 Investment Tokens Miscellaneous Amendments Rules 2023

Attachment 2: Proposed draft:

- 2.1 QFCA Digital Asset Regulations 2023
- 2.2 QFCA Digital Asset (Companies Regulations and Special Company Regulations Amendment) Regulations 2023
- 2.3 QFCA Digital Asset (QFCA Rules and Non-Regulated Activities Rules) Amendments Rules 2023

2 Overview of draft QFC Digital Assets Framework legislation

- 2.1 The proposed digital assets framework is being developed on a phased basis with phase one focusing on the establishment of legislation to provide for a QFC tokenisation framework. It is envisaged that subsequent phases will focus on building out the detailed regulatory framework for specific activities and products. In that connection and in order to give effect to the proposed framework, the Regulatory Authority and the QFC Authority have prepared a range of draft legislative instruments necessary to achieve the objectives for the framework. The proposed legislation is as follows:

Regulatory Authority Rules

- **Investment Token Rules 2023** - The proposed Rules primarily make provision for the treatment of tokens ("investment tokens") representing underlyings that are Specified Products under the QFC Financial Services Regulations ("FSR"). They provide for any person who carries out an activity in relation to such a token to be conducting a regulated activity, requiring authorisation and supervision by the Regulatory Authority.
- **Investment Tokens Miscellaneous Amendments Rules 2023** - The proposed Rules amend six sets of Regulatory Rules in consequence of the introduction of investment tokens.

QFC Authority Regulations and Rules

- **Digital Asset Regulations 2023** - The proposed Regulations establish the concept of tokens and what constitutes a permitted token. The Regulations also contain provisions relating to transfer of tokens, token ownership, and rights in the underlying and various definitions for the types of token service providers that will be subject to the proposed licensing framework in the QFC.
- **Digital Asset (Companies Regulations and Special Company Regulations) Amendment Regulations 2023** - The proposed Regulations amend the Companies Regulations and Special Company Regulations to provide for the tokenisation of shares and related amendments.
- **Digital Asset (QFCA Rules and Non-Regulated Activities Rules) Amendment Rules 2023** - The proposed Rules amend the QFCA Rules and Non-Regulated Activities Rules and establishes the framework for licensing token service providers, including a code of practice for token service providers, and sets out the activities that may be conducted in the QFC in relation to tokens.

3 Proposed Regulatory Authority draft Rules

- 3.1.1. The approach in the draft Investment Tokens Rules 2023 ("draft Regulatory Authority Rules") introduces enabling provisions for tokenising rights (described as investment tokens), in specified products under the QFC Financial Services Regulations ("FSR") and certain derivatives and Islamic financial contracts declared to be specified products in Regulatory Rules (see draft Rule 2.1.1 of Attachment 1.1). As a consequence of that provision, activity relating to those investment tokens, which would be activity regulated by the Regulatory Authority were it carried out in relation to the underlying investment represented by the token, is itself a regulated activity. This approach maps to what is currently permissible under the FSR for traditional financial services.
- 3.1.2. The proposed draft Regulatory Authority Rules also specify a prohibition on undertaking activities in the QFC in relation to tokens that do not represent an underlying asset or are tokens that constitute cryptocurrency or similar currency-substitutes (this is in line with the Qatar Central Bank prohibition on cryptocurrencies in circular 6 of 2018 and communication issued by the Regulatory Authority in that regard). (See draft Rule 2.1.2 of Attachment 1.1). The draft Rules also give the Regulatory Authority the power to prohibit other activity in relation to tokens (see draft Rule 2.1.3 of Attachment 1.1).
- 3.1.3. Firms proposing to engage in activities covered by the draft Regulatory Authority's Rules will be required to obtain an authorisation from the Regulatory Authority. Likewise, firms that are already authorised to conduct regulated activities will require an amendment to their scope of authorisation to conduct activities covered by the draft Regulatory Authority Rules. In granting any such authorisations, the activities and specified products related to those activities will be limited to those specified by the Regulatory Authority.

4 Overview of proposed QFC Authority Regulations and Rules

4.1 Proposed draft Digital Asset Regulations 2023

- 4.1.1 The proposed draft Digital Asset Regulations set out the definition of a permitted token within the QFC. The approach taken has been that, provided they are generated in accordance with Article 12 (using QFC licensed service providers), all assets may be tokenised unless expressly excluded. The implication of this approach is that a very broad range of assets that may be tokenised, allowing various potential use cases to be proposed to the QFC Authority for consideration. Following the Qatar Central Bank prohibition on cryptocurrencies in the circular 6 of 2018 and communication issued by the Regulatory Authority in that regard, cryptocurrencies and similar digital assets are excluded. Furthermore, the proposed Digital Asset Regulations contain provision for the QFC Authority to make Rules or publish notices prohibiting the tokenisation of certain underlying assets.
- 4.1.2 In order to maintain a trusted technology environment for digital assets, the QFC Authority may from time to time, set standards relating to DLT systems on which permitted tokens may be generated, stored, and transferred pursuant to Article 11.
- 4.1.3 The proposed draft Digital Asset Regulations provide at Article 13 that ownership of a permitted token confers ownership in the underlying represented by the token, and that a person who controls the power to transfer a permitted token may be presumed to be the owner of the token. It is important to highlight that whilst there is no real or personal property regime in the QFC, the approach provides for ownership of tokens permitted in QFC and an assumption of corresponding ownership of the underlying assets to which the token relates, with such ownership capable of being challenged in the QFC Court.
- 4.1.4 The conditions for valid transfer of a permitted token are set out in Article 14, namely that transfer may be affected by transferring the control over the power to transfer the token, with the result that the underlying asset is also transferred to the transferee. The proposed draft Digital Asset Regulations also provide for cancellation of a token, either where, by virtue of any Rules, Regulations, or other law applicable in the QFC, the underlying asset ceases to exist, or otherwise by application to the QFC Court. In the event of unlawful transfer and resulting loss, a remedy procedure has been set out at Article 17 enabling an application to the QFC Court.
- 4.1.5 Token services proposed to be licensed by the QFC Authority pursuant to Article 18 by token service providers ("TSPs") include the following:
- a validation;
 - b token generation;
 - c token custody services;
 - d operating a token exchange; and
 - e token transfer services.
- 4.1.6 Definitions of each of these activities referred to above are set out in Article 19 to Article 23 of the proposed draft Digital Asset Regulations. Services provided in relation to excluded

tokens (that is, cryptocurrencies and other unbacked tokens and any tokens designated as excluded under a notice or Rules) are not permitted in the QFC pursuant to Article 18 (2).

4.2 Proposed draft Digital Asset (QFCA Rules and Non-Regulated Activities Rules) Amendment Rules 2023

- 4.2.1 The amendments proposed to the QFCA Rules bring the range of proposed permitted digital asset activities which may be conducted by TSPs within the application of the existing QFCA Rule provisions. In relation to anti-money laundering supervision undertaken by the Regulatory Authority pursuant to AML/CFT Rules 2019, the proposed approach is for licensed TSPs providing services in relation to tokens to be subject to AML obligations including the obligation to appoint a Money Laundering Risk Officer.
- 4.2.2 The QFC Authority also proposes to establish a Token Service Providers Code within the QFCA Rules, applicable to all TSPs, and providing for standards of transparency, disclosure of risk, management, systems, and controls.
- 4.2.3 The proposed amendments to the Non-Regulated Activities Rules provide the basis for licensing each of the digital asset activities listed in 4.1.5. above, in the QFC and require licensed TSPs to obtain professional indemnity insurance unless the QFCA considers this not to be necessary.

4.3 Proposed draft Digital Asset (Companies Regulations and Special Company Regulations) Amendment Regulations 2023

- 4.3.1 The proposed amendments to the Companies Regulations set out circumstances in which the shares of an LLC may be tokenised and provides that the shares of an LLC (public) may not be tokenised. Other consequential amendments have been made to bring tokenised shares within the existing requirements upon shares in an LLC within the QFC.
- 4.3.2 The proposed amendments to the Special Company Regulations enable Special Companies to conduct the additional activity of issuing certificates, receipts, or other instruments, which would include tokenised instruments. This amendment is proposed on the basis that parties conducting a transaction in digital assets from the QFC (i.e., by way of example, a sukuk or bond Token issuance) may use a Special Company for this purpose.

5 Consultation timetable

- 5.1 The Regulatory Authority and QFC Authority is proposing a consultation period of three months until 2 January 2024.

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